



5. **Teenager:** *Oh, what a boring book. I should not have wasted my money on it. With great difficulty I read the first 30 pages. I still have 400 more pages but I hope to complete that by the end of this week.*
6. **Day Trader:** *It's really tough to make money in such volatile markets. I should not have got this terminal at home. It's a fixed expense every month, and I have to trade everyday so that I can at least recover my fixed costs.*

Why do people do what they do not like? Is it not simpler to choose not to do it?"

Now what would *you* do in the following two scenarios?

Scenario A: You have complimentary tickets for a Filmfare Awards night. On the evening of the programme there is a severe rainstorm and traffic is disrupted due to floods. You have to travel from Colaba to Andheri. Would you go? Yes or No.

Scenario B: You have bought a ticket for a Filmfare Awards night for Rs.1500. On the evening of the programme there is a severe rainstorm and traffic is disrupted due to floods. You have to travel from Colaba to Andheri. Would you go? Yes or No.

Most people would go for the show if they had paid for the tickets and would avoid it if they had received the same as complimentary. Actually this distinction makes no sense as the money for the ticket is already spent. You will not get it back whether you go to the event or not. What we must really look at is the additional risk we are taking by braving the storm and the additional costs we may incur if the car is damaged or we fall sick. The danger posed by the rainstorm is the same, whether the tickets are free or paid for.

This particular type of loss aversion to which we all are prone is what Richard Thaler described as the *Sunk Cost Fallacy*. You increase your commitment to justify your past actions because your ego is tied to the commitment.

Let's go back to the statements given earlier. The investor made a decision and does not want to admit that his decision has gone